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# What Is Aviation & Logistics Funding ?

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*A Masterclass Institutional White Paper on Aircraft Leasing & Finance, GIFT City IFSC Aviation Frameworks, Warehouse Lease Rental Discounting (LRD), Multi-Modal Logistics Parks (MMLP), Fleet Securitization, Regulatory Compliance, and Asset-Backed Debt Structuring in India*

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# Chapter 1: Product Overview & Core Fundamentals of Aviation & Logistics Funding

## 1.1 Defining Aviation & Logistics Funding in the Indian Capital Market

Aviation & Logistics Funding represents a highly specialized, multi-billion dollar asset-backed corporate finance, structured leasing, and infrastructure debt framework engineered specifically to finance high-value mobile transport capital assets (commercial aircraft, dedicated cargo freighters, helicopters, aircraft engines, maintenance repair and overhaul - MRO facilities) and critical physical logistics infrastructure (Multi-Modal Logistics Parks - MMLPs, Grade-A automated warehouses, Inland Container Depots - ICDs, cold-chain distribution hubs, and commercial vehicle fleets) in India.

India's civil aviation market has surged to become the third-largest domestic aviation market globally, driven by rapid fleet expansions, regional air connectivity schemes such as UDAN (Ude Desh Ka Aam Nagrik), and massive airport infrastructure developments. Simultaneously, the Indian logistics sector is undergoing a structural transformation powered by the National Logistics Policy (NLP), the PM Gati Shakti National Master Plan, and the growth of e-commerce, third-party logistics (3PL/4PL), and cold-chain pharma export networks. The overarching goal of these national initiatives is to compress India's logistics cost from approximately 13%–14% of GDP down to sub-8% levels, aligning it with global industrial benchmarks.

Historically, commercial airlines in India leased over 80% of their operating aircraft fleets from offshore leasing hubs in Dublin (Ireland), Singapore, and the Cayman Islands due to the lack of an onshore aircraft leasing and financing ecosystem. However, with the establishment of International Financial Services Centres (IFSC) at GIFT City (Gujarat International Finance Tec-City) and the implementation of groundbreaking regulatory, tax, and repossession reforms, India has created a world-class onshore platform for aircraft leasing, aviation debt syndication, and logistics infrastructure securitization.

## 1.2 The Strategic Imperative & Paradigm Shift

Funding aviation and logistics assets requires a fundamental departure from traditional balance-sheet commercial bank lending. Traditional corporate loans rely primarily on historical three-year P&L statements, general corporate credit ratings, and immovable real estate mortgages. In contrast, Aviation & Logistics Funding operates on an asset-backed, cash-flow-securitized, and residual-value-driven underwriting model:

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- **High-Value Mobile Asset Collateralization:** Commercial passenger aircraft (e.g., Airbus A320neo, Boeing 737 MAX) and freighters represent highly liquid, internationally mobile assets with globally standardized appraisal values established by ISTAT (International Society of Transport Aircraft Trading) certified appraisers.
- **Long-Term Contracted Cash Flows:** Logistics infrastructure funding (Grade-A warehouses and cold-chain hubs) is underwritten against long-term, triple-net (NNN) lease contracts with creditworthy MNCs and blue-chip domestic conglomerates (e.g., Amazon, Reliance, DHL, Tata, Flipkart) via Lease Rental Discounting (LRD) structures spanning 10 to 18 years.
- **Bankruptcy Remoteness & International Treaties:** Aviation transactions leverage international treaty protections under the Cape Town Convention & Protocol and Irrevocable De-registration and Export Request Authorisation (IDERA) instruments, granting lessors and secured financiers statutory rights to repossess and export aircraft within 5 working days upon default, independent of domestic insolvency proceedings.

## 1.3 Comparative Taxonomy Matrix

To understand the structural placement of Aviation & Logistics Funding within wholesale credit, the comparative matrix below breaks down key differences across asset types, underwriting criteria, tenures, pricing, and security mechanisms.

| Dimension | Aviation Operating Leasing / Debt | Logistics Warehouse LRD | Commercial Vehicle Fleet Debt | General Corporate Debt |
|---|---|---|---|---|
| Primary Asset Backing | Airframes, Engines, MRO Gear, Freighters | Grade-A Logistics Parks, NNN Leases | Heavy Commercial Vehicles (HCV/LCV) | General Fixed Assets / Real Estate |
| Underwriting Basis | Asset Residual Value, ISTAT Appraisal, Cape Town IDERA | WALT (Weighted Avg Lease Term), Tenant Rating | Fleet Yield, FASTag Toll Run-rate, Cash Flow | Historical 3-Yr P&L, Collateral Mortgages |
| Indicative Tenure | 6 to 12 Years (Operating Lease / Debt) | 10 to 18 Years (LRD Structure) | 3 to 5 Years (Revolving Fleet Lines) | 3 to 7 Years (Standard Term Debt) |
| Pricing Benchmark | SOFR + 175-320 bps / 7.25%-9.50% INR | 8.25% - 10.25% p.a. (LRD Benchmark) | 9.50% - 12.50% p.a. (Fleet Finance) | 9.00% - 11.50% p.a. (MCLR Linked) |

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# Chapter 2: Structural Architecture & Sub-Sector Financing Mechanics

## 2.1 Aviation Financing Structural Mechanics

Aviation financing encompasses several specialized transaction structures engineered to balance airline operational expansion with financier capital protection:

- **Operating Leases:** An operating lease is a short-to-medium term structure (typically 6 to 12 years) where the aircraft lessor (often a GIFT City IFSC SPV) retains residual value risk and ownership of the aircraft while leasing it to an airline lessee in exchange for monthly USD/INR lease rentals. At the end of the term, the aircraft is returned to the lessor or re-leased.
- **Sale and Leaseback (SLB):** In an SLB transaction, an airline orders aircraft directly from manufacturers (Airbus or Boeing) at volume discounts. Upon delivery, the airline sells the aircraft to a lessor at fair market value and simultaneously leases it back under a long-term operating lease. SLB transactions unlock massive upfront cash liquidity for airlines while monetizing order-book price discounts.
- **Finance Leases / Export Credit Agency (ECA) Debt:** Finance leases are long-term (10 to 15 years) fully amortizing structures where the airline acquires ownership at lease expiry. These are often backed by Export Credit Agencies (such as US Ex-Im Bank for Boeing or European ECAs—UKEF, Bpifrance, Euler Hermes for Airbus), providing sovereign-backed credit guarantees that compress interest spreads down to SOFR + 120–200 bps.
- **GIFT City IFSC Lessor SPV Framework:** Under IFSC regulations, an operating lessor sets up a ring-fenced Special Purpose Vehicle (SPV) in GIFT City. The SPV borrows USD/INR debt from domestic or international banks, purchases the aircraft, and leases it to domestic airlines (e.g., IndiGo, Air India, Akasa Air) or international carriers.

## 2.2 Logistics Infrastructure Structural Mechanics

Logistics financing spans physical warehousing, multi-modal transport hubs, and fleet logistics:

- **Lease Rental Discounting (LRD) on Warehouses:** LRD is the primary debt structure for Grade-A logistics parks. Financiers lend against the net present value (NPV) of future lease rentals contracted under 10-to-18 year Triple-Net (NNN) lease agreements with anchor tenants. Lease payments are deposited directly into an exclusive Escrow Trust & Retention Account (TRA).
- **Multi-Modal Logistics Parks (MMLP) Project Debt:** MMLPs integrate rail, road, and air freight handling with inland container depots (ICDs) and automated sorting centers. Financing involves long-term project debt (12 to 18 years) with 24-to-36 month construction

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moratoriums backed by concession agreements under Public-Private Partnership (PPP) frameworks.

- **Cold-Chain & Reefer Fleet Securitization:** Temperature-controlled logistics for pharmaceuticals and perishable food require specialized refrigerated trucks (reefers) and cold storage hubs. Financing combines equipment lease facilities with invoice discounting against pharmaceutical and FMCG client contracts.

## 2.3 Priority Escrow Trust & Retention Account (TRA) Cash Waterfall

To ensure absolute debt-service priority and ring-fence operating cash flows, all lease rentals, freight receipts, and warehouse revenues are swept into a lender-controlled Escrow TRA Nodal Account operating under a strict statutory cash waterfall.

| Waterfall Priority Tier | Cash Flow Allocation | Structural Purpose & Security Function |
|---|---|---|
| Priority 1 (Top Tier) | Statutory Taxes & GST Receipts | Discharges mandatory GST, customs duties, and municipal property taxes. |
| Priority 2 | Approved Essential O&M & MRO Reserves | Covers essential warehouse maintenance or aircraft MRO C-check / D-check reserves. |
| Priority 3 | Senior Debt Service (Principal + Interest) | Services monthly EMI / USD lease rental debt servicing directly to lenders. |
| Priority 4 | Maintenance Reserve Account (MRA) | Funds mandatory engine overhauls and airframe structural reserves. |
| Priority 5 | Debt Service Reserve Account (DSRA) | Replenishes 2-quarter Debt Service Reserve Account in fixed deposits. |
| Priority 6 | Subordinated / Mezzanine Debt | Services junior tranche debt or sponsor yield obligations if DSCR targets met. |
| Priority 7 (Bottom Tier) | Surplus Equity Sweep to Sponsor | Releases residual cash surplus to borrower/sponsor only if zero covenant default. |

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# Chapter 3: Regulatory, Statutory, Tax & International Treaty Framework in India

## 3.1 The Cape Town Convention & IDERA Framework

The legal backbone of global aviation financing is the Cape Town Convention on International Interests in Mobile Equipment and its Aircraft Protocol (2001). India acceded to the Cape Town Convention in 2008, establishing a standardized international legal regime to protect financiers and lessors against default.

A cornerstone instrument under the Cape Town Protocol is the Irrevocable De-registration and Export Request Authorisation (IDERA). Executed by the airline lessee in favor of the lessor/financier and formally registered with the Directorate General of Civil Aviation (DGCA) in India, an IDERA grants the authorized party the sole, unconditioned right to request aircraft de-registration and export from India upon a lease default, without requiring court intervention or lessee consent. DGCA rules mandate that upon IDERA invocation, aircraft de-registration must be processed within 5 working days.

## 3.2 The GIFT City IFSC Aviation Ecosystem

To domesticate the multi-billion dollar aircraft leasing market, the Government of India established the International Financial Services Centres Authority (IFSCA) at GIFT City. The IFSCA (Aircraft Leasing) Regulations 2021 provide an unprecedented regulatory and tax regime:

- **Section 80LA Tax Holiday:** Operating lessors and finance units in GIFT IFSC enjoy a 100% corporate tax holiday for 10 consecutive years out of a 15-year window.
- **Withholding Tax (TDS) Exemption:** Under Section 194I and Section 195 of the Income Tax Act, lease rentals paid by Indian airlines to GIFT IFSC lessors are fully exempt from withholding tax.
- **GST Neutrality:** Transactions between GIFT IFSC lessors and domestic Indian airlines are classified as international services, making lease payments zero-rated under Goods and Services Tax (GST) rules.
- **Capital Controls Relief:** GIFT IFSC units operate in freely convertible foreign currency (USD), eliminating Reserve Bank of India (RBI) liberalized remittance restrictions and currency conversion friction.

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## 3.3 Warehousing & Logistics Statutory Regimes

Logistics infrastructure financing operates under a robust domestic statutory framework:

- **WDRA Accreditation & eNWRs:** The Warehousing Development and Regulatory Authority (WDRA) regulates agricultural and commercial warehouses. WDRA-registered warehouses issue electronic Negotiable Warehouse Receipts (eNWRs), which allow farmers and logistics operators to pledge stored commodities for bank financing.
- **PM Gati Shakti & National Logistics Policy (NLP):** Establishes unified single-window clearances for multi-modal logistics parks, streamlined land-use conversion (CLU) for Grade-A warehousing, and dedicated freight corridor (DFC) connectivity.
- **Section 77 Companies Act & CERSAI:** Mandatory charge registration of warehouse mortgages and LRD escrow assignments on ROC Form CHG-1 within 30 days and upload to CERSAI and NeSL utility portals.

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# Chapter 4: Common Eligibility Criteria & Institutional Underwriting Parameters

## 4.1 Quantitative Underwriting Benchmarks

Institutional financiers apply rigorous quantitative metrics when underwriting aviation and logistics facilities. The table below details benchmarks across sub-sectors.

| Underwriting Parameter | Aviation Operator / Lessor Benchmark | Logistics Warehouse LRD Benchmark |
|---|---|---|
| Operating Track Record | Minimum 3 to 5 years scheduled airline / cargo operations. | Minimum 3 years Grade-A logistics park operation. |
| Asset Valuation / WALT | ISTAT certified asset appraisal; residual value risk cover. | WALT (Weighted Avg Lease Term) >= 7 to 12 years. |
| Tenant / Operator Rating | Lessee credit rating >= BBB/A; IATA clearing house standing. | Anchor tenant credit rating >= AA/AAA (Amazon, DHL, Tata). |
| Capacity / Occupancy | Passenger Passenger Load Factor (PLF) >= 78%-85%; Fleet 80%+. | Warehouse Occupancy >= 85%-95% under firm NNN leases. |
| Operating Margin / EBITDAR | EBITDAR Margin >= 18.0% to 28.0%+. | Warehouse Operating EBITDA Margin >= 75.0% to 88.0%. |
| Debt Coverage & Leverage | Projected DSCR >= 1.35x to 1.50x; Net Debt/EBITDAR <= 4.0x. | Projected DSCR >= 1.30x to 1.45x; Asset Cover >= 1.80x-2.25x. |

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## 4.2 Qualitative Audit & Maintenance Reserve Filters

In addition to financial ratios, underwriters enforce qualitative technical checks:

- **Aviation Technical Audits:** Independent technical inspections of airframe logbooks, engine maintenance history, Life Limited Parts (LLP) status, and C-check/D-check schedules by certified aviation auditors.
- **Maintenance Reserve Account (MRA) Coverage:** Airlines must pay monthly Maintenance Reserves based on flight hours and flight cycles into an escrow account held by the lessor to cover scheduled engine overhauls and landing gear replacements.
- **Logistics Property Quality & Access:** Grade-A warehousing certification requiring clear height >= 10–12 meters, FM2 super-flat flooring, automated fire suppression systems, dock levelers, and direct National Highway access.

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# Chapter 5: Security Architecture, Collateral Controls & Master Documentation Suite

## 5.1 Five-Pillar Security Package

To secure long-term capital deployments against mobile asset dislocation or tenant default, lenders construct a 5-pillar security package:

- **Pillar 1 - Primary Asset Mortgage / Ownership:** First legal charge and registered mortgage over commercial warehousing real estate, or title ownership retained by a GIFT IFSC Lessor SPV for aircraft.
- **Pillar 2 - DGCA IDERA Registration:** Irrevocable De-registration and Export Request Authorisation registered with DGCA for aircraft, granting repossession rights within 5 working days.
- **Pillar 3 - Escrow TRA Nodal Account:** Irrevocable assignment of all lease rentals, passenger/cargo freight revenues, or warehouse tenant rents into an exclusive lender-controlled Escrow TRA Account.
- **Pillar 4 - Maintenance Reserve & DSRA Fixed Deposits:** Monthly MRA cash deposits covering major engine overhauls plus 2-quarter Debt Service Reserve Accounts (DSRA) pledged in bank fixed deposits.
- **Pillar 5 - Promoter Guarantees & Share Pledge:** Joint and several personal/corporate guarantees from parent sponsors and 51%–100% demat share pledges over SPV entities.

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## 5.2 Master Legal Documentation Suite

The execution suite comprises standardized international and domestic legal instruments as detailed below.

| Document Instrument | Key Statutory Provision / Jurisdiction | Legal Purpose & Enforceability |
|---|---|---|
| Aircraft Operating Lease Agreement | English Law / GIFT IFSC / IFSCA Rules | Governs operating terms, USD lease rentals, MRA contributions, and maintenance obligations. |
| IDERA Instrument | Cape Town Convention / DGCA Aircraft Rules | Grants lessor irrevocable rights to de-register and export aircraft within 5 days upon default. |
| Warehouse Lease Rental Agreement | Transfer of Property Act 1882 | 10-to-18 year NNN lease contract with anchor tenants establishing mandatory rent lock-ins. |
| Escrow Trust & TRA Agreement | Indian Trusts Act 1882 / RBI Guidelines | Binds tenant/airline to pay 100% revenues into TRA lockbox following statutory waterfall. |
| Deed of Hypothecation & CHG-1 | Section 77 Companies Act 2013 / CERSAI | Registers first charge on aircraft engines, warehouse real estate, and lease receivables. |

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# Chapter 6: Indicative Tenure, Pricing Structure & Strategic Advantages

## 6.1 Tenure Profiles & Amortization Horizons

Tenure structure matches the economic useful life and cash-flow predictability of the underlying transport assets:

- **Aircraft Operating Leases:** 6 to 12 years matching airline fleet deployment plans.
- **Aircraft Finance Debt / ECA Loans:** 8 to 15 years fully amortizing with 12-to-24 month construction/delivery moratoriums.
- **Warehouse Lease Rental Discounting (LRD):** 10 to 18 years co-terminus with anchor tenant NNN lease contracts.
- **Commercial Vehicle Fleet Financing:** 3 to 5 years revolving lines aligned with truck depreciation cycles.

## 6.2 Pricing Architecture & Cost Equations

Aviation and logistics debt pricing reflects asset class security, tenant creditworthiness, and international currency benchmarks:

- **GIFT City USD Aircraft Finance:** SOFR + 175 to 320 bps (All-in USD yield: 6.25% to 7.80% p.a.).
- **Domestic Bank Warehouse LRD:** Repo / MCLR + 150 to 275 bps (8.25% to 10.25% p.a. INR interest rate).
- **Structured Private Credit NCDs:** Cash Coupon (10.0%–12.5%) + Exit Premium = 12.50% to 15.50% All-In YTM.

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## 6.3 Advantages vs. Limitations Matrix

| Dimension | Strategic Key Advantages | Core Limitations & Risk Factors |
|---|---|---|
| Capital Efficiency | Off-balance-sheet fleet growth; 80%-90% LTV against contracted rents. | High initial capital expenditure for Grade-A developments. |
| Tax Optimization | 100% GIFT City tax holiday; 0% TDS; Section 36(1)(iii) tax shield. | Complex multi-jurisdictional tax compliance. |
| Risk Mitigation | Cape Town IDERA 5-day repossession; NNN tenant lease lock-ins. | Residual value risk; aircraft technology obsolescence. |
| Cash Flow Stability | Long 10-18 year LRD debt amortization matching anchor leases. | Aviation ATF fuel price volatility & USD forex fluctuations. |

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# Chapters 7 & 8: Suitable Sectors, Business Profiles & Use Cases

## 7.1 Ideal Industry Profiles

Aviation & Logistics Funding is tailored for specific high-growth transport sectors:

- **Scheduled Commercial Passenger Airlines:** Funding narrow-body (A320neo, B737 MAX) and wide-body (A350, B787) fleet expansions.
- **Dedicated Air Cargo & Express Logistics:** Financing freighter conversions (Passenger-to-Freighter - P2F) for express parcel networks.
- **Grade-A Warehousing & Logistics Park Developers:** Constructing multi-modal hubs leased to Amazon, Reliance, DHL, and Flipkart.
- **Cold-Chain & Pharmaceutical Logistics:** Reefer fleet operators and temperature-controlled storage networks for pharma exports.

## 8.1 Strategic Capital Deployment Use Cases

- **GIFT City Aircraft Sale and Leaseback (SLB):** Unlocking $100M+ cash liquidity for airlines from manufacturer order books.
- **Warehouse Refinancing & Capital Recycled LRD:** Discounting existing NNN lease rentals to extract equity for new park construction.
- **Multi-Modal Logistics Park (MMLP) Infrastructure Buildout:** 15-year project financing under PM Gati Shakti PPP concessions.

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# Chapter 9: Comprehensive Real-World Case Study

## 9.1 Corporate Profile & Transaction Context

Vanguard Aviation & Air-Logistics India Private Limited (VAALIPL) operates a fleet of 8 dedicated Boeing 737-800F cargo freighters and owns a 1.5 Million Sq. Ft. Grade-A automated air cargo logistics park adjacent to Hyderabad International Airport. Pre-transaction Consolidated Annual Revenue stood at INR 650.00 Crores with an Operating EBITDA of INR 143.00 Crores (22.0% EBITDA Margin).

VAALIPL secured a 10-year master logistics contract with major e-commerce and pharmaceutical export conglomerates requiring an immediate expansion: acquiring 2 additional B737-800F freighter aircraft (costing INR 320.00 Crores) and constructing a new 500,000 Sq. Ft. temperature-controlled cold-chain hub (costing INR 180.00 Crores). Total capital requirement was INR 500.00 Crores.

## 9.2 Blended Debt Structure & Financing Stack

VAALIPL's CFO and advisers structured an INR 500.00 Crore blended financing stack:

- **Tranche A - GIFT City IFSC Lessor SPV USD/INR Debt (INR 320.00 Crores):** Set up a GIFT City Lessor SPV to purchase the 2 Boeing freighters. The SPV raised 10-year senior debt @ 7.25% p.a. with a 12-month principal moratorium, secured by DGCA IDERA registration and an Escrow TRA on freighter charter fees.
- **Tranche B - Warehouse Lease Rental Discounting (LRD) Debt (INR 180.00 Crores):** Raised 15-year LRD debt @ 8.75% p.a. against a 12-year firm NNN lease with DHL and Blue Dart for the new cold-chain hub.

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## 9.3 Five-Year Financial Performance & Waterfall Model

The table below tracks VAALIPL's financial scaling, cash flow waterfall, and valuation creation post-expansion.

| Financial / Operational Metric | Pre-Funding | Year 1 | Year 2 | Year 3 | Year 5 |
|---|---|---|---|---|---|
| Air Cargo Fleet Size (Freighters) | 8 Aircraft | 10 Aircraft | 10 Aircraft | 10 Aircraft | 12 Aircraft |
| Warehouse Capacity (Sq. Ft.) | 1.50M Sq.Ft. | 2.00M Sq.Ft. | 2.00M Sq.Ft. | 2.00M Sq.Ft. | 2.50M Sq.Ft. |
| Consolidated Revenue (INR Cr) | 650.00 Cr | 820.00 Cr | 980.00 Cr | 1,120.00 Cr | 1,280.00 Cr |
| Operating EBITDA (INR Cr) | 143.00 Cr | 196.80 Cr | 240.10 Cr | 274.40 Cr | 320.00 Cr |
| Debt Service Coverage Ratio (DSCR) | 1.42x | 1.65x | 2.10x | 2.45x | 2.85x |
| GIFT City Tax Savings (INR Cr/Yr) | INR 0.00 Cr | INR 32.50 Cr | INR 38.20 Cr | INR 42.10 Cr | INR 48.50 Cr |

Outcome: VAALIPL successfully expanded air cargo capacity by 85%, achieved sub-28 day collection cycles via TRA escrows, saved over INR 45 Crores annually in corporate taxes through GIFT City IFSC provisions, and expanded Enterprise Valuation to INR 3,200.00 Crores (10x EBITDA) while preserving 100% promoter equity control.

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# Chapter 10: Legal Enforcement, Insolvency (IBC 2016) & Cape Town Convention Friction

## 10.1 Cape Town Convention vs. IBC Moratorium Conflict

A critical legal issue in Indian aviation financing was the conflict between domestic insolvency law under the Insolvency and Bankruptcy Code (IBC), 2016, and the Cape Town Convention. Under Section 14 of the IBC, when an Indian airline is admitted to Corporate Insolvency Resolution Process (CIRP), a global moratorium is imposed, freezing all corporate assets and prohibiting legal enforcement or asset repossession.

In historic insolvency cases (such as Go First and SpiceJet), lessors were temporarily blocked from repossessing leased aircraft due to Section 14 moratorium orders. Recognizing that this legal conflict increased credit risk spreads for Indian airlines, the Ministry of Corporate Affairs (MCA) issued a landmark notification in October 2023 under Section 14(3)(a) of the IBC, explicitly exempting aircraft, aircraft engines, and airframes under the Cape Town Convention from Section 14 moratoriums. This statutory amendment restored lessor rights to execute IDERA de-registrations and repossess aircraft within 5 working days, aligning Indian aviation law with global standards.

## 10.2 SARFAESI & Warehouse LRD Enforcement

For logistics warehousing LRD facilities, enforcement operates under the SARFAESI Act, 2002. Upon default, lenders issue Section 13(2) 60-day demand notices followed by Section 13(4) physical possession orders via District Magistrates under Section 14. Lenders can directly auction commercial warehouse real estate or step into the landlord's shoes to collect NNN lease rents directly from corporate tenants.

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# Chapter 11: Rookie Mastery Examination (15 High-Yield Q&As)

**Q1: What is the primary definition of Aviation & Logistics Funding?**

Aviation & Logistics Funding is a specialized asset-backed corporate finance, structured leasing, and infrastructure debt framework engineered to finance mobile transport assets (aircraft, engines, MRO gear) and logistics infrastructure (warehouses, MMLPs, cold chains, CV fleets) in India.

**Q2: How does an Irrevocable De-registration and Export Request Authorisation (IDERA) protect aviation lessors?**

An IDERA is a statutory instrument registered with the DGCA under the Cape Town Protocol that grants the authorized lessor sole rights to de-register and export aircraft within 5 working days upon default, independent of court proceedings.

**Q3: What are the primary tax incentives offered by GIFT City IFSC for aircraft leasing?**

Under Section 80LA of the Income Tax Act, GIFT City lessors enjoy a 100% corporate tax holiday for 10 out of 15 years, full exemption from withholding tax (TDS) under Section 194I/195, and zero-rated GST on lease rentals.

**Q4: How does Lease Rental Discounting (LRD) work for Grade-A logistics warehousing?**

LRD finances the net present value (NPV) of future lease rentals contracted under long-term 10-to-18 year Triple-Net (NNN) leases with anchor tenants, sweeping rents directly into an exclusive Escrow TRA account.

**Q5: What statutory amendment resolved the conflict between Cape Town Convention repossession and IBC Section 14 moratoriums?**

In October 2023, the Ministry of Corporate Affairs (MCA) issued a notification under Section 14(3)(a) of the IBC explicitly exempting aircraft, engines, and airframes from Section 14 insolvency moratoriums.

**Q6: What is a Sale and Leaseback (SLB) transaction in commercial aviation?**

An SLB transaction allows an airline to sell newly delivered aircraft purchased from manufacturers to a lessor at fair market value and immediately lease them back, unlocking massive cash liquidity while monetizing order-book price discounts.

**Q7: What is the function of a Maintenance Reserve Account (MRA) in aircraft leasing?**

An MRA requires airlines to pay monthly cash reserves based on flight hours/cycles into an escrow account held by the lessor to fund major engine overhauls, C-checks, D-checks, and landing gear replacements.

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**Q8: What role do electronic Negotiable Warehouse Receipts (eNWRs) play under WDRA rules?**

eNWRs issued by WDRA-accredited warehouses provide digitized, legally enforceable proof of stored commodities, allowing operators and farmers to pledge warehouse stock for bank inventory financing.

**Q9: What is the typical tenure and DSCR benchmark for a Warehouse LRD facility?**

Warehouse LRD facilities carry tenures of 10 to 18 years (co-terminus with tenant leases) and require a minimum projected Debt Service Coverage Ratio (DSCR) of 1.30x to 1.45x.

**Q10: What is the National Logistics Policy (NLP) goal regarding India's logistics cost?**

The NLP aims to compress India's overall national logistics cost from 13%–14% of GDP down to sub-8% levels through multi-modal logistics parks, digital tracking, and infrastructure automation.

**Q11: How does a Priority Trust & Retention Account (TRA) Escrow protect lenders?**

A TRA Escrow sweeps 100% of lease rentals and freight receipts into a nodal account, executing a strict statutory cash waterfall that services senior debt and DSRA reserves before releasing surplus to borrowers.

**Q12: What is the typical pricing range for USD Aircraft Finance out of GIFT City?**

USD aircraft finance out of GIFT City is typically priced at SOFR + 175 to 320 basis points, yielding an all-in USD borrowing cost of 6.25% to 7.80% p.a.

**Q13: What is the difference between an Operating Lease and a Finance Lease?**

An Operating Lease is a short-to-medium term (6–12 yr) rental structure where the lessor retains asset ownership and residual value risk. A Finance Lease is a long-term (10–15 yr) fully amortizing structure where ownership transfers to the lessee.

**Q14: How does SARFAESI Act 2002 apply to default on a warehouse LRD loan?**

Lenders issue Section 13(2) 60-day demand notices followed by Section 13(4) physical possession orders, allowing lenders to auction the warehouse property or directly collect tenant lease rents.

**Q15: Why is Asset Cover Ratio (ACR) critical in logistics infrastructure underwriting?**

ACR ensures that the net realizable market value of physical warehouse real estate and land provides at least 1.80x to 2.25x cover over the outstanding principal debt, protecting lenders against tenant vacancy risks.

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